corporate governance

Corporate governance is the means by which a company is operated and controlled.

aim of corporate governance is to ensure that companies are run well in the interests of their shareholders, employees, and other key stakeholders

aim is to try and prevent company directors from abusing their power which may adversely affect these stakeholder groups

Advantages of a company following good corporate governance

- Greater transparency
- Greater accountability
- Efficiency of operations
- Better able to respond to risks
- Less likely to be mismanaged.

six OECD principles

- Ensuring the basis of an effective corporate governance framework
- The rights and equitable treatment of shareholders and key ownership functions
- Institutional investors, stock markets, and other intermediaries
- The role of stakeholders in corporate governance
- Disclosure and transparency
- The responsibilities of the board.

The code is split into five parts

- Board leadership and company purpose
- Division of responsibilities
- Composition, succession and evaluation
- Audit, risk and internal control
- Remuneration.

Board leadership and company purpose

- Board leadership and purpose = *A strong, effective board that defines why the company exists, sets strategy around that purpose, and ensures the whole organization follows it.*

- The board must set the tone, clarify purpose and values, lead by example, engage openly with shareholders and stakeholders, and ensure transparency and accountability.

What is principles and provisions?

- **Principles = the broad “spirit” (what good governance should look like).**
- **Provisions = the specific “rules” (how to make sure it happens).**

Principles

- company should be led by an **effective board** → guides long-term success.
- The board defines the **purpose, values & strategy** of the company.
- Directors must **“walk the talk”** → lead by example and promote the right culture.
- Annual reports should **explain decisions, outcomes & link to strategy**.
- The board ensures **resources & effective controls** are in place.
- The board must **engage with shareholders & stakeholders** → workforce can raise concerns.
- *Example:* Tata Group’s board focuses on sustainable growth, not just profits.

Provision

- Annual reports must show how the board considered **future risks & opportunities**.
- The board should **monitor company culture** → fix issues if actions don't match stated values.
- The Chair should regularly **engage with major shareholders**, not just at AGMs.
- If **20%+ shareholders vote against** a resolution → company must explain next steps.

Example: Infosys engages regularly with institutional investors to build trust.

- The board must consider **views of stakeholders** (employees, suppliers, community, etc.).
    - Workforce voice through:
        - A workforce director, OR
        - Advisory panel, OR
        - Designated non-executive director (NED).
- Employees should be able to **whistle blow** confidentially.
- Boards must handle **conflicts of interest** properly.
- Directors' concerns must be **minuted,** if a NED resigns, they should submit a statement.
- *Example:* Apple provides whistleblowing hotlines and strong policies for employee concerns.

Division of responsibilities

- it means that within a company, **no single person should have too much power or unchecked control**. Responsibilities should be divided clearly so that decisions are balanced and oversight is effective.

- Splitting power and duties between board members (especially between Chair and CEO) so that no one has absolute control, and the company runs with proper checks and balances.

Principle

- Chair leads board → ensures effectiveness.
- Chair enables directors to contribute.
- Chair ensures **clear, accurate, timely info**.
- Board must be **balanced** → no domination.
- NEDs must have time & hold management accountable.
- Board ensures **policies, processes & resources** exist.
- *Example:* Infosys separates Chair & CEO roles to keep balance.

Composition, succession and evaluation

- **Composition, succession, and evaluation**: How the board is made up, plans for replacing leaders, and checks how well it works.

Principle

•Board appointments should follow a **formal, transparent process** and promote **diversity and equal opportunity**.
•There should be an **effective succession plan** for the board and senior management.
•Appointments and succession should be based on **merit and objective criteria**.
•The board and committees should have a **mix of skills, experience, and knowledge**.
•**Annual evaluations** should consider board composition, diversity, and teamwork effectiveness.

Main Provisions

- Establish a **nomination committee** to handle board appointments.
- **Majority of committee members** should be independent non-executive directors (NEDs).
- **Chair excluded** from decisions on their successor.
- All directors must face **annual re-election**.
- **Chair tenure** limited to nine years, with possible short extension for succession planning.
- Use **open advertising or external search** for appointing the chair and NEDs.
- Conduct a **formal annual review** of the board, committees, chair, and directors.
- Consider a **regular external evaluation** (at least every 3 years for FTSE 350 companies).
- **Annual report** should disclose:
- Work of the nomination committee
- Appointment process
- Board evaluation
- Diversity and inclusion policy
- Gender balance in senior management

Audit, risk and internal control including audit committees

Committee	Focus
Risk Com	Identify and manage risks
Internal Con Com	Ensure internal controls work effectively
Audit Comm	Oversee audits and financial integrity

Principles

•The board should have **formal and transparent policies** to ensure **independence and effectiveness** of internal and external audits.
•The board should present a **fair, balanced, and understandable assessment** of the company's financial position and prospects.
•The board should maintain an **effective risk management and internal control framework**, defining the **level of risk it is willing to take** to achieve strategic goals.

Audit committee

- An **audit committee** is a sub-committee of the board of directors. It is responsible for overseeing:
- **Financial reporting** (are the accounts fair and reliable?)
- **Internal controls** (are systems strong enough to prevent fraud/errors?)
- **Audit process** (independence and effectiveness of internal and external auditors).

Main Provisions

Audit Committee

- Must be established with **independent non-executive directors (NEDs)**; minimum 3 members (2 for smaller companies).
- **Chair of the board cannot be a member** of the audit committee.
- At least one member must have **recent and relevant financial experience**.
- Members should have **competence relevant to the company's sector**.

Key Roles & Responsibilities

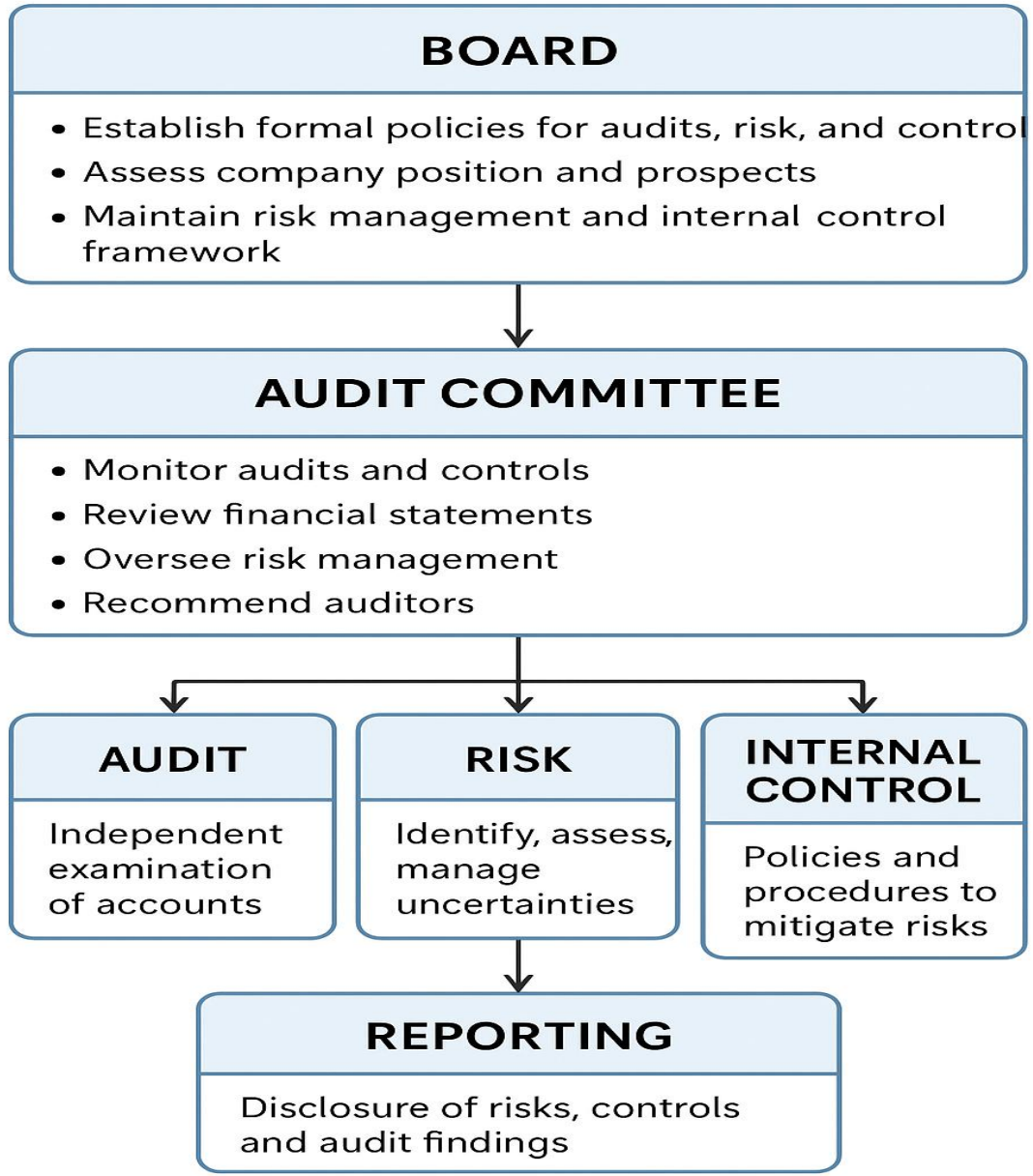
- Monitor **financial statements** and significant reporting judgments.
- Advise whether annual reports and accounts are **fair, balanced, and understandable**.
- Recommend **appointment, removal, and remuneration of external auditors**.
- Review and monitor **external auditor's independence and objectivity**, including non-audit services.
- Review **internal financial controls and risk management systems**.
- Monitor and review the **effectiveness of internal audit**; recommend establishing one if absent.

Reporting Requirements

- Annual report should describe the **work of the audit committee**.
- Explain how **auditor independence** and effectiveness are safeguarded.
- Directors should **confirm responsibility** for preparing financial statements.

Risk & Internal Control

- Carry out a **robust assessment of emerging and principal risks**.
- Review the **effectiveness of risk management and internal control systems annually**.
- Report in the annual report any **material controls not operating effectively** and corrective actions taken.
- Confirm the appropriateness of the **going concern basis of accounting**, and disclose **material uncertainties**.
- Explain in the annual report the **assessment of company prospects** and the period considered.


BOARD
Establish formal policies for audits, risk, and control
Assess company position and prospects
Maintain risk management and internal control framework
AUDIT COMMITTEE
Monitor audits and controls
Review financial statements
Oversee risk management
Recommend auditors
AUDIT
Independent examination of accounts
RISK
Identify, assess, manage uncertainties
INTERNAL CONTROL
Policies and procedures to mitigate risks
REPORTING
Disclosure of risks, controls and audit findings

- **Going Concern Basis of Accounting**
- **Principle:**
  The board should state whether it considers it appropriate to adopt the going concern basis of accounting in preparing the financial statements.
- **Enron's Breach:**
  Despite mounting financial difficulties, Enron's board continued to adopt the going concern basis of accounting, failing to disclose material uncertainties regarding the company's ability to continue operations. This misrepresentation misled stakeholders about the company's financial health.

audit committee Objective

- **Public confidence** – increase trust in the company's financial statements (including interim reports).
- **Support directors** – help executive directors discharge their responsibility for financial reporting.
- **Strengthen external audit** – give auditors a direct, independent channel of communication (not filtered by management).

Benefits of an Audit Committee

- **More credible accounts** – financial statements are checked impartially.
- **Stronger audit independence** – committee monitors the external auditor's objectivity.
- **Better internal control culture** – promotes compliance and strong governance.
- **Valuable expertise** – members bring skills, knowledge, and independence.
- **Easier financing** – lenders/investors trust companies with strong governance.
- **Meets listing rules** – many stock exchanges require audit committees.
- **Supports internal audit** – internal auditors report directly to the committee, enhancing independence.

Disadvantages

- **Recruitment challenges** – it can be hard to find the right non-executive directors with time and expertise.
- **Costly** – members are paid fees, making it an additional expense.

Remuneration

- means the pay, benefits, and incentives that directors and senior management receive. Corporate governance sets clear rules here because pay can directly affect behavior, motivation, and ultimately the long-term success of a company.

Principle

- Pay should support **long-term sustainable success** – not just short-term profits.
- Executive pay must align with the company's **purpose, values, and strategy**.
- Directors **cannot set their own pay** – this prevents bias and abuse.
- Pay decisions must consider **company performance, individual performance, and broader circumstances** (like economy, shareholder views, workforce pay fairness).

Main Provisions

•**Remuneration Committee**: At least 3 independent non-executive directors (NEDs).
•Chair of the board cannot chair this committee.
•Committee sets pay for chair, executives, and senior management.
•**Workforce link**: Committee must review general employee pay and policies so executive pay isn't completely disconnected.
•**NEDs' pay**: Decided by the board, only for time and responsibility – no share options or performance bonuses (to preserve independence).
•**Shareholding requirements**: Executive pay schemes should encourage long-term shareholding. Shares should vest over **at least 5 years**.
•**Malus and Clawback**:
•**Malus** → cancel/reduce bonus *before* it is paid.
•**Clawback** → recover money or shares *after* payment if later found undeserved (e.g., due to misconduct or misstated results)

Malus and clawback

- **Malus Meaning**: “Malus” means reducing or cancelling a bonus **before it has been paid out or before shares vest**. Think of it as **stopping the reward before it reaches the executive’s hands**.

Key point: Malus = **negative bonus** → applied *before* payment or vesting.

Claw back **Meaning**: “Claw back” means taking money or shares **back after they have already been paid/vested**.

recovery after the fact → applied *after* payment or vesting.

- **Contracts**:
  - Notice/contract period should be max **1 year** (to avoid costly exits).
  - Pension contributions should be in line with workforce, not excessive.
- **Transparency**: Pay arrangements must be **simple, proportionate, predictable, and aligned to company culture**. The risks of excessive pay must be explained.
- **Annual report**: Must clearly describe remuneration policy, committee work, and clawback/malus provisions.

- **No clawback/malus provisions**
- Even when Enron collapsed, top executives kept millions from earlier bonuses.
- If proper clawback rules were in place, they would have had to return rewards that were based on false performance.

- **Short-term focus vs long-term success**
- Enron executives' pay was heavily based on **share price and short-term earnings**.
- They got huge **cash bonuses and stock options** when reported profits looked good, even if those profits were fake (due to accounting manipulation).
- This pushed managers to chase quick gains and hide losses, instead of building sustainable success.